AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

YETI Holdings

2 July 2026 · the qualitative

$49.22

NYSE : YETI · Mature-Company DCF	$3.73B mkt cap · 76M sh · $114M cash, zero debt · ~$114M net cash; ~76M shares; $500M buyback authorization (no dividend); Revenue $1.87B FY25 (+2% trough; Q1'26 +8%); ~14% adj op margin (tariff-compressed), ~$212M FCF; Stanley/Owala/dupe pressure in US drinkware; China <5% of COGS post de-risking

THE CENTRAL QUESTION

Is YETI a durable premium brand re-accelerating via international + new categories — or a saturated, fad-cyclical US drinkware brand whose +2% trough caps the multiple?

YETI trades at ~$3.6B (≈$48/sh) — ~17x FCF on $1.87B revenue, net cash, a $500M buyback. Growth troughed at +2% in FY2025 (US drinkware saturation + Stanley/Owala/dupes) and re-accelerated to +8% in Q1'26 on wholesale + international; tariffs compressed margins (~16.5%→14.4% adj op) but China is now <5% of COGS. The mature DCF asks whether international (20%→25% target) + new categories (bags via Mystery Ranch, cookware) + margin recovery offset the saturating core. The finding: roughly fair — the modal growth/margin-recovery path lands near spot.

PROBABILITY-WEIGHTED EXPECTED VALUE

$49.67 expected fair value today

+0.9% vs spot $49.22

FORWARD COMPOUNDED VALUE

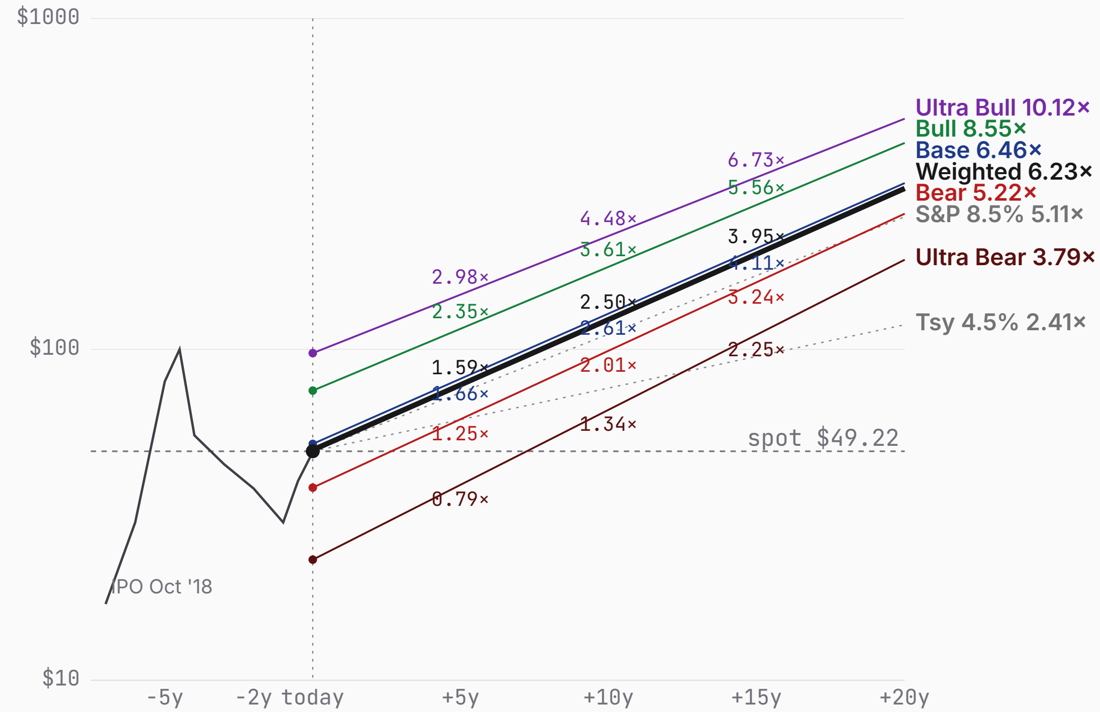
+5y	+10y	+15y	+20y
$78.19	$123.20	$194.26	$306.57
1.59× spot	2.50× spot	3.95× spot	6.23× spot

WEIGHTING RATIONALE

Ultra Bear 15% Fad fades; dupes win; ~$23 (-52%).
Bear 30% US saturated; tariff drag; ~$38 (-20%).
Base 33% Intl + categories offset US; ~$52 (+8%).
Bull 17% Intl ramps; bags/cookware; ~$75 (+56%).
Ultra Bull 5% Durable multi-category global brand; ~$97 (+103%).

Bull (17%) + Ultra Bull (5%) together contribute $17.63 — 36% of the $49.67 expected value despite 22% combined probability. Today's spot ($49.22) sits 1% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$23.15	$38.22	$51.81	$75.07	$97.43
-53.0% vs spot	-22.3% vs spot	+5.3% vs spot	+52.5% vs spot	+97.9% vs spot
CAGR -1.0% WACC 11.0% CAGR -1.0% Prob 15%	CAGR +2.2% WACC 10.0% CAGR +2.2% Prob 30%	CAGR +4.6% WACC 9.5% CAGR +4.6% Prob 33%	CAGR +7.0% WACC 9.0% CAGR +7.0% Prob 17%	CAGR +9.4% WACC 8.5% CAGR +9.4% Prob 5%
Fad fades; dupes win; US drinkware shrinks.	US saturated; modest; tariff drag lingers.	International + categories offset US; margin recovers.	International ramps; bags/cookware traction.	Durable multi-category global brand.

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YETI Holdings scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected $49.67 (+0.9% vs spot)

ULTRA BEAR $23.15

-53.0% vs spot

Probability 15%

Fad fades; dupes win; US drinkware shrinks.

WHY 15%

The fad-cyclical bear: drinkware is ~58% of sales and brand heat rotates fast. 15% weight on the trend turning against YETI.

WHAT HAPPENS

The viral tumbler trend rotates away (Stanley→Owala->next), RTIC/private-label dupes arbitrage the premium, and the international/category bets don't offset a shrinking US core. Revenue declines; margins stay tariff-pressured.

DCF ~$23 (-52%) — a fad-exposed brand losing its core earns a distressed multiple.

BEAR $38.22

-22.3% vs spot

Probability 30%

US saturated; modest; tariff drag lingers.

WHY 30%

US drinkware stays saturated and the trend doesn't reverse. 30% weight — the plausible 'stalls' path given the +2% trough.

WHAT HAPPENS

The US core stays saturated and tariffs keep margins below peak; international + categories grow but only enough to keep the total roughly flat-to-low.

DCF ~$38 (-20%) — a dominant-but-stalled brand at ~11x FCF, below today's price.

BASE $51.81

+5.3% vs spot

Probability 33%

International + categories offset US; margin recovers.

WHY 33%

Requires international + new categories + margin recovery, consistent with Q1'26's +8% and China <5% of COGS. 33% as the central, near-spot outcome.

WHAT HAPPENS

The modal path: international (toward 25% of revenue) + bags/cookware offset a stabilizing US core, and margins recover as tariffs annualize and China-sourcing exits. Revenue compounds ~5%.

DCF ~$52 (+8%) — roughly fair; the growth/margin-recovery the Q1'26 +8% hints at, priced about right.

BULL $75.07

+52.5% vs spot

Probability 17%

International ramps; bags/cookware traction.

WHY 17%

International + new categories deliver and margins recover. ~17%; the diversification strategy is credible but unproven at scale.

WHAT HAPPENS

International scales past 25%, Mystery Ranch bags + cookware become real categories, and margins recover toward mid-teens — the brand proves durable beyond fad-cyclical drinkware.

DCF ~$75 (+56%) — category + geographic diversification re-rates the brand.

ULTRA BULL $97.43

+97.9% vs spot

Probability 5%

Durable multi-category global brand.

WHY 5%

Full category + geographic diversification works and the brand de-fads. ~5%, the asymmetric upside.

WHAT HAPPENS

YETI becomes a durable multi-category premium-outdoor brand (drinkware + coolers + bags + cookware) with international as a second engine, compounding ~10% at recovered margins.

DCF ~$97 (+103%) — the brand transcends the drinkware fad; ~5% probability.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

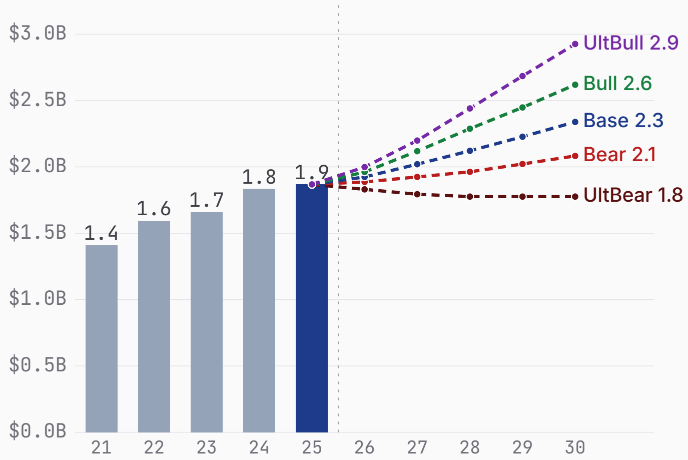
YETI Holdings business snapshot

2 July 2026 · the snapshot

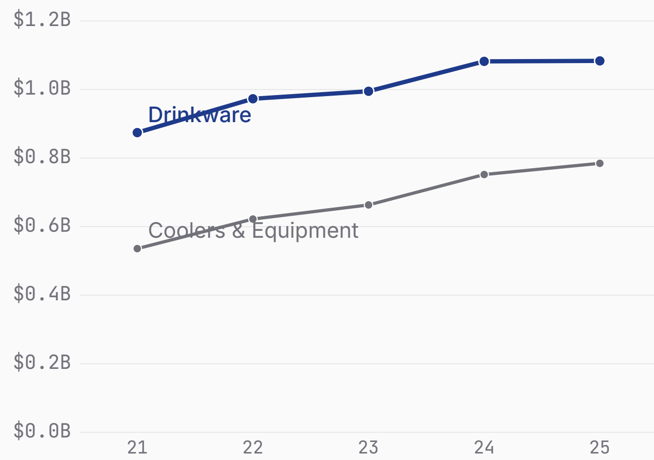
Bear $38.22 Base $51.81 Bull $75.07

FY21-FY25 history + FY26-FY30 scenario projections · 52/53-week fiscal year · FY2025 (Jan'26) + Q1'26 results

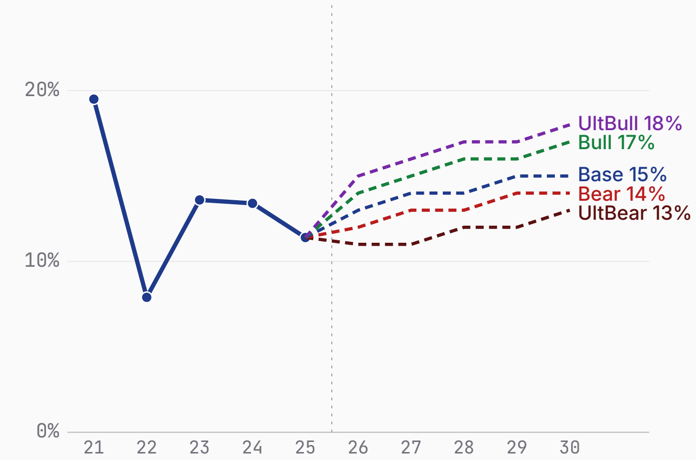
Revenue ($B) — history + scenarios to FY30



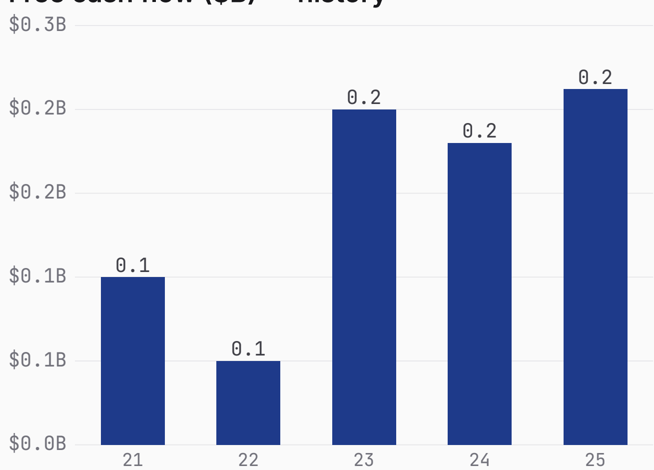
Revenue by segment ($B)



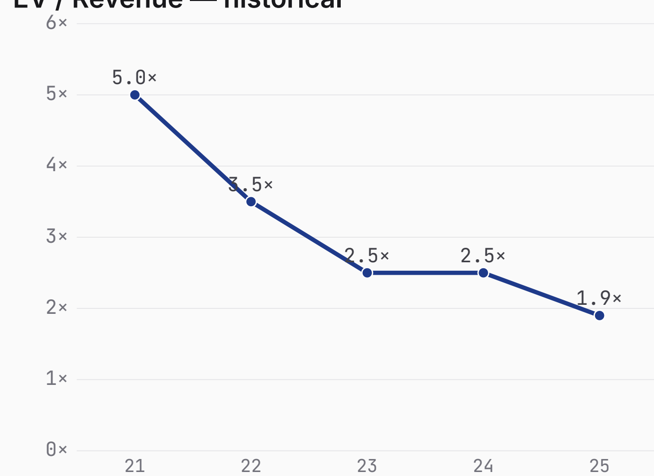
Op margin — history + scenarios



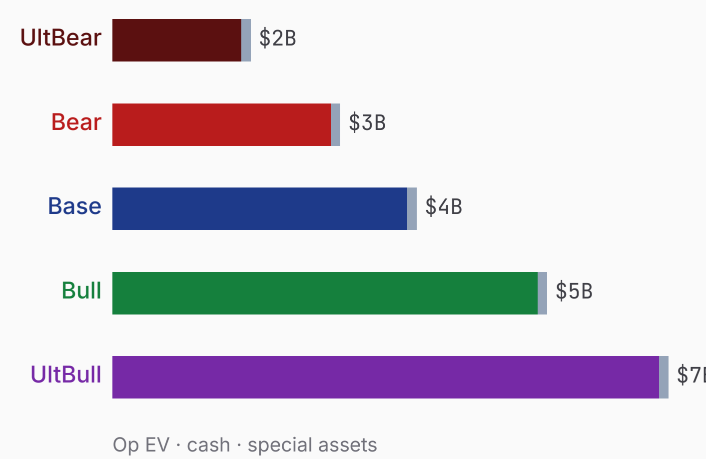
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: YETI FY2025 results (year ended Jan 3, 2026; revenue $1.87B, FCF $212M, net cash ~$114M), Q1'26 (+8.3%). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal. EV/FCF vs Helen of Troy (Hydro Flask) + Newell.

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2 July 2026 · the competitive landscape

YETI Holdings 7 Powers · the moat, scored

Bear $38.22 Base $51.81 Bull $75.07

Arena. Premium outdoor drinkware + gear — YETI (brand, ~60% DTC, drinkware + coolers + new bags/cookware) vs Stanley, Owala, Hydro Flask (Helen of Troy), RTIC, Newell; defending a premium brand Power in a fad-cyclical core.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies
Sourcing/marketing leverage at ~$1.9B revenue; modest vs housewares conglomerates.

Network Economies
Community/ambassador affinity, not a hard network.

Counter-Positioning
Premium incumbent; dupes counter-position on price.

Switching Costs
Weak — drinkware is a discretionary, swappable purchase.

Branding · thesis leans here
The dominant Power: premium pricing + outdoor credibility — durable in coolers/gear, contestable in viral tumblers.

Cornered Resource
Brand IP + design + durability reputation; real but copyable.

Process Power
Design/sourcing learning curve; modest.

PEER SET

Stanley (PMI/HAVI) · private
US unit leader; viral surge cooling (~50% search decline 2025).

Owala · private
Fastest-growing brand (+~60% search); took the viral baton from Stanley.

Hydro Flask (Helen of Troy) -5% gr · 10% mgn · ~9x P/E
Cleanest public peer; Home/Outdoor segment declining (~-7%).

RTIC / private label · private
Explicit price-dupe of YETI; arbitrages the premium.

THREAT VECTORS · FALSIFIERS

Branding · Owala / Stanley / dupes
falsifier: US drinkware revenue declines while viral share rotates to challengers.

Scale Economies · Tariffs / sourcing
falsifier: Margins stay compressed below 14% adj op for 2+ years.

Counter-Positioning · Private label / RTIC
falsifier: Sustained price competition forces YETI off its full-price model.

COMPETITIVE READ
YETI's brand Power is durable in coolers/outdoor gear but genuinely contestable in its fad-cyclical drinkware core (~58% of sales), where viral heat rotates (Stanley→Owala) and dupes arbitrage the premium. International (toward 25%) + new categories (bags/cookware) + margin recovery (China <5% of COGS) are the diversification offsets. At ~17x FCF the modal growth/margin-recovery path lands near spot — roughly fair, with the sign hinging on whether the +2% FY25 was a trough (Q1'26 +8%) or a new normal.

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YETI Holdings show your work

Bear $38.22 Base $51.81 Bull $75.07 · Weighted $49.67 (+0.9%)

ULTRA BEAR $23.15

ASSUMPTIONS

5y revenue CAGR (%)	-1.0
Year-5 op margin (%)	13.0
WACC (%)	11.0
Terminal growth (%)	0.0
5y revenue CAGR (%)	-1.0
Starting revenue ($B)	1.87
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.83	+11%	+0.17	+0.15
FY27	1.79	+11%	+0.16	+0.13
FY28	1.78	+12%	+0.16	+0.12
FY29	1.78	+12%	+0.18	+0.12
FY30	1.78	+13%	+0.18	+0.11

Σ PV explicit FCF	+0.62
+ PV terminal (g 0.0%)	0.96

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.58B
+ Cash & investments	$0.11B
= Equity value	$1.69B
FY30 shares (M)	73
= Expected per share	**$23.15**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$39.01	$65.73	$110.76	$186.64
0.79×	1.34×	2.25×	3.79×

BEAR $38.22

ASSUMPTIONS

5y revenue CAGR (%)	+2.2
Year-5 op margin (%)	14.0
WACC (%)	10.0
Terminal growth (%)	1.5
5y revenue CAGR (%)	+2.2
Starting revenue ($B)	1.87
Scenario probability (%)	30

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.89	+12%	+0.19	+0.17
FY27	1.92	+13%	+0.21	+0.17
FY28	1.96	+13%	+0.22	+0.16
FY29	2.02	+14%	+0.24	+0.17
FY30	2.08	+14%	+0.25	+0.15

Σ PV explicit FCF	+0.83
+ PV terminal (g 1.5%)	1.85

EQUITY BUILD · $B & PER SHARE

Operating EV	$2.68B
+ Cash & investments	$0.11B
= Equity value	$2.79B
FY30 shares (M)	73
= Expected per share	**$38.22**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$61.55	$99.13	$159.65	$257.13
1.25×	2.01×	3.24×	5.22×

BASE $51.81

ASSUMPTIONS

5y revenue CAGR (%)	+4.6
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	2.0
5y revenue CAGR (%)	+4.6
Starting revenue ($B)	1.87
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.92	+13%	+0.21	+0.19
FY27	2.02	+14%	+0.24	+0.20
FY28	2.12	+14%	+0.26	+0.19
FY29	2.23	+15%	+0.29	+0.20
FY30	2.34	+15%	+0.30	+0.19

Σ PV explicit FCF	+0.99
+ PV terminal (g 2.0%)	2.63

EQUITY BUILD · $B & PER SHARE

Operating EV	$3.62B
+ Cash & investments	$0.11B
= Equity value	$3.73B
FY30 shares (M)	72
= Expected per share	**$51.81**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$81.56	$128.40	$202.13	$318.20
1.66×	2.61×	4.11×	6.46×

BULL $75.07

ASSUMPTIONS

5y revenue CAGR (%)	+7.0
Year-5 op margin (%)	17.0
WACC (%)	9.0
Terminal growth (%)	2.5
5y revenue CAGR (%)	+7.0
Starting revenue ($B)	1.87
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	1.96	+14%	+0.23	+0.22
FY27	2.12	+15%	+0.28	+0.23
FY28	2.29	+16%	+0.32	+0.25
FY29	2.45	+16%	+0.34	+0.24
FY30	2.62	+17%	+0.39	+0.26

Σ PV explicit FCF	+1.19
+ PV terminal (g 2.5%)	4.03

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.22B
+ Cash & investments	$0.11B
= Equity value	$5.33B
FY30 shares (M)	71
= Expected per share	**$75.07**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$115.50	$177.72	$273.44	$420.72
2.35×	3.61×	5.56×	8.55×

ULTRA BULL $97.43

ASSUMPTIONS

5y revenue CAGR (%)	+9.4
Year-5 op margin (%)	18.0
WACC (%)	8.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+9.4
Starting revenue ($B)	1.87
Scenario probability (%)	5

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	2.00	+15%	+0.26	+0.24
FY27	2.20	+16%	+0.31	+0.26
FY28	2.44	+17%	+0.37	+0.29
FY29	2.68	+17%	+0.40	+0.29
FY30	2.93	+18%	+0.47	+0.31

Σ PV explicit FCF	+1.39
+ PV terminal (g 2.5%)	5.32

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.71B
+ Cash & investments	$0.11B
= Equity value	$6.82B
FY30 shares (M)	70
= Expected per share	**$97.43**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$146.50	$220.29	$331.24	$498.07
2.98×	4.48×	6.73×	10.12×

YETI Holdings People · Opportunity · Context · Deal

Bear $38.22 Base $51.81 Bull $75.07

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Matt Reintjes

10 yrs in seat

18% insider ownership

LOW key-person risk

Capital allocation (realized)
No dividend; capital returned via buybacks — ~$500M / ~13M shares repurchased over FY2024-FY2025 (~14% of shares out), incl. 8.2M shares / ~$298M in FY2025; the board re-loaded the authorization to $500M available as of May 2026. M&A is small/tuck-in and cash-funded: Mystery Ranch (bags) + Butter Pat (cast-iron cookware), ~$48.5M total cash (Q1 2024) — new-category capability, not transformational. Net cash (~$114M); capex funds capacity and new categories.

Incentive alignment
Reintjes FY2024 total ~$7.8M ($1.03M salary · ~$1.67M bonus · ~$5.12M stock) — ~85%+ at-risk/equity. LTI is 75% performance RSUs / 25% time RSUs; the PBRSUs vest on 3-yr cumulative free-cash-flow with a relative-TSR modifier (90%-of-target threshold, 200% cap, 3-yr cliff). Pay-for-performance, FCF + TSR-linked.

GOVERNANCE FLAGS

- single-class — one share, one vote (no super-voting / dual-class)
- independent Chair (Robert Shearer) separate from the CEO; board of 10, 9 independent
- classified / staggered board (three classes, three-year terms)
- founders no longer on the board — Roy Seiders resigned as a director eff. May 2021 (no disagreement); Ryan Seiders not a director
- founders retain large economic stakes (Ryan ~15%, Roy ~2%); Cortec Group (PE, majority 2012) fully exited; now institutionally held

> **PEOPLE READ**
> Professionalized, single-class, founder-aligned: a 10-yr hired CEO on FCF + relative-TSR pay, an independent chair, a clean one-share-one-vote register with no controller and PE fully exited, disciplined ~$500M buybacks and only small cash-funded tuck-ins — the demerits are a classified board and that the deep brand expertise still sits with the now-absent founders.

THE FOUR LEGS

People ●●●●○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the +4% finding) + position sizing.

YETI Holdings supporting analysis · disclaimers · glossary

Bear $38.22 Base $51.81 Bull $75.07

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1. **Net cash, ~$212M FCF, $500M buyback.**
Debt-light, cash-generative, shrinking the float at ~17x FCF — capital return is real.

2. **China sourcing de-risked.**
China now <5% of COGS (Vietnam/Philippines/Mexico) — the tariff drag (~$0.35/sh) is largely an annualization headwind, not structural.

3. **International is the engine.**
~20% of revenue growing mid-teens, Japan greenfield (2025), 25%-by-2027 target — a runway the US-saturation view misses.

4. **New categories extend the brand.**
Mystery Ranch bags ($9B+ premium-bag TAM) + Butter Pat cookware diversify beyond fad-cyclical drinkware.

5. **Q1'26 re-accelerated to +8%.**
Wholesale +19% (best in 3 years) + international suggest the +2% FY25 was a trough, not a new normal.

FALSIFICATION TRIGGERS

Bull validation
international passes 25% of revenue · bags/cookware become reported needle-movers · adj op margin recovers above 16% · wholesale rebound sustains

Bear validation
US drinkware stays soft · Owala/Stanley/dupes keep taking share · margins stay tariff-compressed · new categories stall

Reframe needed
if drinkware brand heat structurally rotates away (the fad ends), re-rate the core toward a commodity-housewares multiple

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Drinkware — YETI's tumbler/bottle core (~58% of sales, higher margin) — the fad-cyclical, most-contested category.

Mystery Ranch / Butter Pat — 2024 acquisitions: technical bags (premium-bag TAM $9B+) + cast-iron cookware — the new-category diversification bets.

Dupes — Lower-priced look-alikes (RTIC, private label) + viral challengers (Stanley, Owala) eroding the drinkware premium.

Branding — Helmer Power: premium pricing + community/ambassadors + durability reputation — durable in outdoor, contestable in faddish tumblers.

FCF margin — Free cash flow / revenue (~11% FY25, tariff-compressed); the mature-DCF lever as margins recover.